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# Fundamental FAULTLINES

The Government needs to make credit cheaper and available, and put investment proposals on the fast track to regain the moniker of the fastest growing democracy

| By Nivedita Mukherjee |

**O**n the face of it, six months are essentially just two quarters in a business cycle. In any other time, two bad quarters would have been par for the course. But not in 2009. Every possible index has slid—from the bell-weather index of industrial production (IIP) to exports. India Inc is clearly hurt and the best indicator is plummeting sales and credit downgrades. In just one year, CRISIL has downgraded 84 entities compared to 17 the previous year. For the Government, revenues are down, borrowings up 46.5 per cent and the fiscal deficit for 2008-09 for the Centre and states is over 11 per cent. If business confidence is low, consumer confidence, shocked by over 10 million job losses, is worse. Ministers who pompously pronounced India's strong

fundamentals in denial now articulate the language of stimulus packages.

The Government—after the initial allegiance to “we are different” stance—panicked to push packages as news of pink slips crowded out other headlines. In the last six months, the RBI injected Rs 2,40,000 crore of liquidity, cut CRR from 9 per cent to 5 per cent and facilitated credit to debilitated sectors. Again, in its annual policy for 2009-10, the central bank lowered key policy rates—repo and reverse repo—by 25 basis points each to push banks to lend more at viable rates. The Government on its part also unveiled two special stimulus packages in December 2008 and January 2009 which were followed up with some more measures post-interim budget. As India Inc starts announcing Q4 results, official growth forecasters have

pared down GDP estimates with even RBI Governor D. Subbarao pegging it for 2009-10 at around 6 per cent. Any upturn in the momentum is unlikely in view of the projected freeze in global demand during 2009, says Subbarao.

Clearly, more needs to be done. Not just in packages but also in deliverance. Business functions on the construct of giant and small wheels working in consonance, lubricated by what is generally called money. Barring telecom, which is adding 10 million subscribers a month, and the FMCG sector, this coordinated orchestra of production, financing, consumption and investment has stalled. Despite deep discounts and alluring packages, headline sectors such as automobiles and consumer durables are struggling to get buyers.

It's thanks to drying up of credit